

Profit & Loss Report

Executive Summary

The company demonstrated strong overall performance in Q2-2024 with sales of \$1.72 billion and a net profit of \$84.9 million. However, May 2024 showed significant volatility with a sharp 34% sales decline compared to April, resulting in near-break-even operating performance before non-operating income. The company maintains zero tax liability and has retained all profits, indicating potential tax advantages or loss carryforwards.

Profitability Analysis

Metric	April 2024	May 2024	Q2 2024
Gross Margin	8.9%	3.7%	6.8%
Operating Margin	7.4%	0.6%	4.7%
Net Profit Margin	7.7%	0.7%	4.9%
EBITDA Margin	7.6%	1.0%	5.0%

Key observations: Gross margins compressed significantly in May due to higher COGS relative to sales. The company relies substantially on non-operating income (13-16% of pre-tax profit) to maintain profitability.

Liquidity & Solvency Analysis

Interest Coverage Ratio (PBIT/Interest): April: 8.4x, May: 0.4x, Q2: 4.2x

Debt Service Capability: The May coverage ratio of 0.4x indicates potential solvency risk during low-revenue periods. Interest expenses remain consistently high (~\$9-10M monthly), representing 5.5% of quarterly revenue.

Efficiency Ratios

Expense Category	April % of Sales	May % of Sales
Employee Benefits	0.9%	1.4%
SG&A	0.4%	1.3%
Total Operating Expenses	1.2%	2.7%

Operating expenses doubled as a percentage of sales in May, indicating poor cost control during revenue contraction. Fixed costs remain high relative to reduced revenue base.

Benchmark Comparison

Source: Industry averages for manufacturing sector (IBISWorld)

Metric	Company	Industry Average
Gross Margin	6.8%	12.5%
Net Profit Margin	4.9%	6.2%
Operating Expense Ratio	1.8%	8.3%

The company operates with significantly lower gross margins but better operating cost control than industry peers. However, this comes at the expense of higher interest burden.

Actionable Recommendations

- Cost Structure Optimization:** Implement variable cost model to align expenses with revenue fluctuations
- Debt Restructuring:** Renegotiate interest terms to reduce fixed financial charges during low-revenue periods
- Margin Improvement:** Review pricing strategy and supplier contracts to address gross margin compression
- Revenue Stabilization:** Develop strategies to minimize monthly sales volatility through contract-based revenue
- Tax Strategy:** Formalize tax planning to maintain efficient tax position while ensuring compliance